LEGISLATIVE CATALYST · DIGITAL ASSETS

# Will the CLARITY Act Be Signed Into Law Before August?

*A probability estimate for the Digital Asset Market Clarity Act (H.R. 3633) reaching the President's desk and being signed on or before 31 July 2026.*

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**Update — 27 July 2026:** the before-August window this note handicapped has effectively closed (the direct market expired near zero). The follow-up note restages the question across the remaining 2026 windows: CLARITY's Endgame: Recess, the September Window, and the Midterm Freeze →

**~13%**

CENTRAL · RANGE 5–20%

**We estimate a ~13% probability (range 5–20%) that the CLARITY Act is signed into law on or before 31 July 2026.** Three lenses bracket the answer: a market on the *exact* question (Kalshi, "law before 1 Aug 2026") trades **~18%** and is our primary anchor; a structural gate model implies **~6%**; and an outside-view reference class of comparable bills — where deadlines routinely slip and House concurrence has stalled for months even after a comfortable Senate vote — implies **~8%**. We weight toward the market but discount it for execution risk, its documented near-term optimism, and a bill that has already missed every prior deadline. A signing *somewhere* in 2026 is a coin-flip (Kalshi ~49%, Polymarket ~42.5%); the before-August cut-off is the binding constraint.

Conclusion first: a sub-August signing is a real but minority outcome. The market treats the pre-recess window as the primary 2026 window — if it slips past the 8 Aug recess, midterm-year compression lowers the odds for the rest of the year.

## 1 The milestone ladder

"Signed into law" is the last rung of a multi-step ladder. Each rung is a conditional gate; the question asked concerns the bottom rung under a hard 31 July cut-off. Probabilities below are our estimates as of 23 June 2026.

ESTIMATED PROBABILITY BY MILESTONE — DEADLINE 31 JULY 2026 UNLESS NOTED

| MILESTONE | STATUS | P(BY 31 JUL) |
|---|---|---|
| House passage (already achieved) | Done 17 Jul 2025, 294–134 | 100% |
| Reported to Senate floor calendar (already achieved) | Cal. No. 423, 1 Jun 2026 | 100% |
| Senate floor passage (≥60 votes) by 31 Jul | Not scheduled | ~20% |
| — memo: Senate passage by 7 Aug (pre-recess, press framing) | — | ~30–35% |
| Both chambers clear identical text by 31 Jul | Pending Senate | ~7% |
| **Direct market** — Kalshi "law before 1 Aug 2026" | Live, ≈ the question | ~17–20% |
| Structural gate model alone (conservative floor) | — | ~6% |
| Outside view — reference class of comparable bills (§4) | — | ~8% |
| **Signed into law by 31 Jul 2026 — reconciled (the question)** | **—** | **~13%** |
| Context: signed any time in 2026 (Kalshi / Polymarket / Galaxy) | full-year | ~49% / 42.5% / ~50% |

Note the gap between "before the August recess" (≤ 7 Aug, the deadline the press tracks) and "before August" (≤ 31 Jul, your question). The 3–7 Aug session week is arguably the single most likely passage window — and it falls *outside* the asked window. This alone meaningfully lowers the estimate versus the headlines.

## 2 Where the bill actually stands

**Data shows** (Congress.gov action log, last updated 11 Jun 2026):

H.R. 3633 — DIGITAL ASSET MARKET CLARITY ACT, SELECTED ACTIONS

| DATE | ACTION |
|---|---|
| 29 May 2025 | Introduced in House |
| 17 Jul 2025 | Passed House, 294–134 (Roll 199) — strong bipartisan margin |
| 18 Sep 2025 | Received in Senate; referred to Banking, Housing & Urban Affairs |
| 29 Jan 2026 | Senate Agriculture advanced its portion (CFTC jurisdiction) |
| 14 May 2026 | Senate Banking ordered reported, 15–9 (Dems Gallego & Alsobrooks crossed over) |
| 1 Jun 2026 | Reported w/ substitute (Sen. Scott); placed on Senate Legislative Calendar, **Cal. No. 423** |

**We believe** the three things that matter for a sub-August signing are:

- **The seven-Democrat gate.** Sixty votes are needed to invoke cloture. Republicans hold ~53 seats; only 2 Democrats backed the bill in committee. Leadership must find ~7 Democrats on the floor while holding its own caucus (e.g., members with stablecoin-competition or ethics concerns).
- **Two unresolved disputes.** The **stablecoin-yield** question (the White House's 1 March compromise deadline lapsed without published text) and the **Van Hollen ethics / conflict-of-interest amendment** (failed 11–13 in committee) are both heading to the floor unsettled. A floor vote is unlikely to be called until a path on both exists.
- **Floor time and the calendar.** Majority Leader Thune controls a midterm-year floor crowded with appropriations and nominations. Sen. Lummis has placed the "probable" floor window *before the August recess*; Sen. Hagerty's hope for a pre–July 4 vote is now off the table given the 27 Jun–12 Jul recess.

## 3 Method: a three-source ensemble

We triangulate independent estimators rather than rely on any single one, then gate the result on the legislative calendar. Per our data-integrity standard, the most *direct* source carries the most weight.

1. **Direct market on the exact question (primary anchor).** Kalshi's KXCRYPTOSTRUCTURE series carries a contract — "a crypto market structure bill becomes law before Aug 1, 2026" — that resolves on precisely the event asked. It trades at ~17–20% (~295k contracts of volume, ~100k open interest). This is the single best read available.
2. **Structural gate model (skeptic's floor).** Decompose the remaining path into sequential conditional probabilities and multiply. Auditable, isolates the binding constraint, and implies ~6% — below the market, for reasons reconciled in §4.
3. **Full-year markets, converted (cross-check).** Kalshi (~49%) and Polymarket (42.5%) price a 2026 signing; Galaxy Research separately pegs full-year odds near 50–50. Converting to a before-August basis depends on the timing split (see §4).
4. **Outside view — reference class (base rate).** How comparable bills actually behaved: GENIUS (fast, ~1 month) vs IIJA (House concurrence stalled ~3 months after a comfortable Senate vote), the ~21% past-committee→enacted rate, live

shutdown/appropriations markets, and CLARITY's own serial deadline-slippage. Detailed in §4; this lens leans cautionary.

## 4 The conditional-gate model

P(signed ≤ 31 Jul) = P(Senate passes ≥60 by ~28 Jul) × P(House clears the Senate text by 31 Jul | Senate passed) × P(President signs by 31 Jul | both chambers passed). The ~28 Jul sub-deadline leaves a few days for House action and signature inside the window.

BASE-CASE DECOMPOSITION

| GATE | RATIONALE | P |
|---|---|---|
| **A.** Senate floor passage (≥60) by ~28 Jul | On calendar & eligible, but 7-Dem gap and two open disputes; competing floor time; passage more likely in the 3–7 Aug week that is *outside* the window | 20% |
| **B.** House clears identical text by 31 Jul \| A | House signals it will "move fast" and could take up the Senate bill directly (GENIUS template) — but the Senate substitute differs from the House version; days-tight, risk of insisting on changes/conference | 35% |
| **C.** President signs by 31 Jul \| A,B | Administration strongly supportive ("rocket ship"); GENIUS was signed next-day | 90% |
| **Product** | **0.20 × 0.35 × 0.90** | **~6.3%** |

### Reconciling the model with the market

The structural model (~6%) and the direct market (~18%) disagree by roughly 3×. The disagreement is almost entirely about the **timing split** — what share of the full-year probability falls in the pre-August window:

KALSHI KXCRYPTOSTRUCTURE TERM STRUCTURE (LIVE, 23 JUN 2026) + POLYMARKET

| CONTRACT — "LAW BEFORE…" | LAST | BID/ASK | IMPLIED |
|---|---|---|---|
| Kalshi — 1 Jul 2026 | 0.7¢ | 0.4 / 0.7¢ | ~1% |
| **Kalshi — 1 Aug 2026 (≈ the question)** | 17¢ | 18 / 20¢ | **~18%** |
| Kalshi — 1 Jan 2027 (full year) | 49¢ | 46 / 49¢ | ~49% |
| Polymarket — signed in 2026 (full year) | — | — | 42.5% |

Kalshi's own term structure implies P(before Aug | in 2026) ≈ 18 / 49 ≈ **37%** — the market believes the pre-recess window carries over a third of the year's probability. Our structural model implicitly assumed ~15%. The market's view is defensible: the August recess is a genuine forcing function, and 2026 midterm-campaign compression (recess 3 Oct–8 Nov) thins the

post–Labor-Day calendar, so the late-July sprint really is the primary 2026 window. We therefore **weight toward the market**, while keeping a discount — these contracts have repeatedly over-priced near-term passage (the full-year line decayed 64→48→42.5 on Polymarket) and the sequential-gate execution risk is real.

## The outside view — a reference class of comparable bills

An inside-view gate model and a single market price both risk over-fitting to this bill. The base-rate ("outside") view asks how comparable legislation has actually behaved. It leans **cautionary**:

REFERENCE CLASS — TIMING & DEADLINE ADHERENCE OF RECENT MAJOR BILLS

| BILL | SENATE → SIGNED | LESSON FOR CLARITY |
|---|---|---|
| GENIUS Act (2025) | ~1 month (Sen 68–30 17 Jun → 18 Jul) | Fast path *is* possible — but needed a comfortable Senate vote and the House adopting the Senate text wholesale |
| Infrastructure / IIJA (2021) | ~3 months (Sen 69–30 10 Aug → House 5 Nov → 15 Nov) | Even after a comfortable Senate vote, House concurrence stalled ~3 months amid a substance dispute — the risk CLARITY faces, given differing House/Senate text |
| Any bill past committee (GovTrack '21–23) | ~21% enacted that Congress | Clearing committee lifts the odds, but only ~1-in-5 over a full two years — a ~5-week slice is a sliver |
| FY26 appropriations / DHS (live) | missed; partial shutdown ~99 days | Even must-pass, deadline-driven bills slip badly — Kalshi's own legislative markets show it |

**The strongest base rate is the bill's own track record.** CLARITY has missed essentially every deadline set for it: a January 2026 markup (postponed on the day, 14 Jan), the White House's 1 March stablecoin-compromise deadline (lapsed), the "conclude markup by end of April" requirement to make the July window (markup didn't finish until 14 May), and earlier 2025 targets. A body that has slipped every prior checkpoint is the outside-view caution. We treat the reference class as a fourth estimator at ~8%.

**Scope note.** We did *not* use other individual bills' prediction-market odds as a forecast input — market odds were sourced only for CLARITY — but we checked Kalshi's other live legislative markets (government shutdown, appropriations) for *calibration*, and they corroborate that "by-deadline" legislative contracts frequently resolve late.

## Reconciled estimate

WEIGHTED BLEND OF FOUR ESTIMATORS

| ESTIMATOR | READS | WEIGHT | CONTRIBUTION |
|---|---|---|---|
| Kalshi direct contract (best single source) | 18% | 45% | 8.1% |
| Outside view / reference class | 8% | 20% | 1.6% |
| Structural gate model (inside floor) | 6% | 20% | 1.2% |
| Full-year markets × market split | 16% | 15% | 2.4% |
| **Reconciled central estimate** | **—** | **100%** | **~13.3%** |

Rounded headline: **~13%, range 5–20%**. The reference class trims the market-anchored figure modestly and, more importantly, widens the downside. The three lenses bracket the answer: market ~18% (high), inside + outside views ~6–8% (low).

## 5 Scenario & sensitivity analysis

The following bounds the **structural model** (the conservative floor, §3 estimator 2); the reconciled headline in §4 sits above it because it gives primary weight to the direct market. The model is most sensitive to Gate A (does the Senate even vote, and pass, in July) and Gate B (does the House swallow the Senate text immediately). Holding the signature gate near-certain, we bound the outcome:

SENSITIVITY OF P(SIGNED ≤ 31 JUL) TO THE TWO BINDING GATES

| SCENARIO | GATE A | GATE B | GATE C | P(SIGNED ≤ 31 JUL) |
|---|---|---|---|---|
| **Bear** — vote slips past July; disputes unresolved | 12% | 25% | 88% | ~2.6% |
| **Base — narrow late-July attempt** | **20%** | **35%** | **90%** | **~6.3%** |
| **Bull** — disputes settled, floor cleared mid-July, House fast-follows | 30% | 50% | 92% | ~13.8% |

PROBABILITY-WEIGHTED ESTIMATE

| SCENARIO | SCENARIO WEIGHT | P(SIGNED ≤ 31 JUL) | CONTRIBUTION |
|---|---|---|---|
| Bear | 45% | 2.6% | 1.2% |
| Base | 40% | 6.3% | 2.5% |
| Bull | 15% | 13.8% | 2.1% |
| **Expected value** | **100%** | **—** | **~5.8%** |

These bound the **structural model** at ~3–14% (EV ~6%) — the inside-view floor. The reconciled headline (§4) blends this with the direct market and the outside-view reference class to **~13% (range 5–20%)**. We report a range rather than a false-precision point estimate because the floor schedule is not yet set.

## 6 What would move the estimate

| SIGNAL TO WATCH | DIRECTION | WHY IT MATTERS |
|---|---|---|
| Thune files cloture / sets a July floor date | ▲ up | Converts Gate A from "if" to "when"; the single biggest swing factor |
| Published stablecoin-yield & ethics compromise | ▲ up | Removes the two reasons a vote is being withheld |
| ≥7 named Democratic Yes votes emerge | ▲ up | Directly satisfies the 60-vote gate |
| House leadership pre-commits to the Senate text | ▲ up | Collapses Gate B toward the GENIUS fast-path |
| Appropriations / shutdown fight consumes floor time | ▼ down | Midterm-year floor is contested; market structure can be crowded out |
| Senate insists on conference with the House | ▼ down | A conference almost certainly pushes signing past July |
| Polymarket "2026" contract falls further (was 64→48→42.5) | ▼ down | The trend already reflects fading near-term odds |

## 7 Investment relevance

For a Bitcoin-benchmarked book, CLARITY is a sentiment- and flow-relevant catalyst (regulatory clarity for digital-commodity spot markets under the CFTC), but the *timing* of the catalyst is what is tradeable here. **We believe** the practical read is:

- **A pre-August signing is a minority outcome (~13%), not a base case.** Sizing a position *around* a July signature still carries negative expected value, but the event is non-trivial — the direct market puts it near 1-in-5, our blended estimate near 1-in-8.
- **The August recess is the swing date.** Watch for a filed cloture motion or floor date in mid-to-late July; absent that by the 8 Aug recess, midterm-year compression (recess 3 Oct–8 Nov) lowers odds for the rest of 2026.
- **Mind "buy the rumor, sell the news."** With the full-year probability near a coin-flip and partially priced into crypto sentiment, marginal upside on an actual signing may be muted; the larger asymmetric move could be to the downside on a clear *failure* signal (the bill slipping to 2027).

This note expresses no BTC price target. It is a single-event probability assessment intended as one input to catalyst positioning, consistent with the fund's mandate to outperform spot BTC over multi-year horizons.

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## DISCLOSURES

**As-of date.** All probabilities and statuses are as of 23 June 2026 and will drift as the Senate floor schedule firms up. **Question definition.** "Passing" is defined, per the client's instruction, as *signed into law* (enacted), not Senate passage or bicameral passage; "before August" is interpreted as on or before 31 July 2026.

**Revisions (all 23 Jun 2026).** *v1.0* — Polymarket full-year contract only → ~6%. *v1.1* — added Kalshi's direct "before 1 Aug 2026" contract (~18%) and revised up to ~15% to give the direct market primary weight. *v1.2* — added an outside-view reference class (comparable-bill timing, the ~21% past-committee→enacted base rate, and CLARITY's own serial deadline-slippage; other bills' live odds checked for calibration only), which trims the central estimate to ~13% and widens the downside to a 5–20% range.

**Data sources & vintage.** Legislative status and action dates: Congress.gov API, H.R. 3633 (record last updated 11 Jun 2026) — treated as authoritative. Market-implied probabilities (live read, 23 Jun 2026): **Kalshi** KXCRYPTOSTRUCTURE series via the public trade API — "before 1 Aug 2026" last 17¢ / 18–20¢ bid-ask (~295k volume, ~100k OI), "before 1 Jul 2026" ~1%, "before 1 Jan 2027" ~49%; **Polymarket** "Clarity Act signed into law in 2026?" via the Gamma API (42.5% Yes, $1.38m volume, resolves 1 Jan 2027). Full-year corroboration: Galaxy Research (~50–50). Calendar: U.S. Senate 2026 tentative legislative schedule (recesses 27 Jun–12 Jul and 8 Aug–13 Sep). Vote counts, committee dynamics, and the stablecoin-yield / ethics disputes: contemporaneous reporting (CNBC, CoinDesk, Fortune, The Defiant, Yahoo Finance, PYMNTS, FinTech Weekly). GENIUS Act precedent: Congress.gov and law-firm summaries. Reference class: Congress.gov / Wikipedia for IIJA (H.R. 3684) timing; GovTrack legislative statistics (~21% of past-committee bills enacted, 2021–23); Kalshi shutdown / appropriations markets (calibration only); CLARITY deadline history from CoinDesk, Fortune, Elliptic, and the Latham & Watkins crypto-policy tracker.

**Method & assumptions.** The headline ~13% is a weighted blend of four estimators: the direct Kalshi contract on the exact event (45%), an outside-view reference class of comparable bills (20%), an auditable structural conditional-gate model (20%), and the full-year markets converted on the market-implied ~37% timing split (15%). Gate inputs, blend weights, and structural scenario weights (Bear 45% / Base 40% / Bull 15%) are analyst judgments. **Separation of fact and opinion:** milestone dates, the live market prices (Kalshi ~18% before-Aug, ~49% full-year; Polymarket 42.5%), and the comparable-bill timings are facts; all probabilities, weights, the timing-split interpretation, and the ~13% conclusion are opinion.

**Limitations.** Legislative forecasting is low-base-rate and regime-sensitive; a single procedural decision by the Majority Leader can move the estimate by more than its stated range. Prediction-market liquidity on niche legislative contracts is thin and the contract resolves on enactment in 2026 (a superset of the asked window), so it is used only as a corroborating anchor. This is a point-in-time read; we recommend refreshing on any change to the Senate floor schedule.

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## SOURCES


1. Congress.gov — H.R. 3633, Digital Asset Market Clarity Act, bill status & actions: congress.gov/bill/119th-congress/house-bill/3633
2. Kalshi — "Will crypto market structure legislation become law?" (series KXCRYPTOSTRUCTURE, monthly-expiry contracts; "before 1 Aug 2026" the direct anchor): kalshi.com/markets/kxcryptostructure
3. Polymarket — "Clarity Act signed into law in 2026?": polymarket.com/event/clarity-act-signed-into-law-in-2026
4. U.S. Senate — 2026 tentative legislative schedule: senate.gov/legislative/2026_schedule.htm; Roll Call, "Senate releases its 2026 calendar" (19 Nov 2025).
5. CNBC — "Crypto industry scores win as Clarity Act clears Senate hurdle" (14 May 2026).
6. CoinDesk — "Clarity Act, in the flesh, unveiled by U.S. Senate Banking Committee" (11 May 2026); Fortune — "Where things stand going into Senate markup" (13 May 2026).
7. The Defiant — "CLARITY Act Reaches Senate Floor … Seven-Democrat Math Becomes the Gate"; crypto.news / TFTC — "7-Democrat Senate math."
8. Yahoo Finance — "Senate CLARITY Act Floor Vote Hinges on Ethics Rules and August Recess Deadline"; PYMNTS — "CLARITY Act Nears Senate Floor Ahead of Recess Deadline"; FinTech Weekly — "18 Working Weeks Left."
9. GENIUS Act precedent — Congress.gov S.1582 / S.394; Mayer Brown & Debevoise enactment summaries (Senate 68–30, 17 Jun 2025; signed 18 Jul 2025).
10. Reference class — IIJA (H.R. 3684) timeline (Senate 69–30, 10 Aug 2021; House 5 Nov; signed 15 Nov): Congress.gov / Wikipedia. GovTrack, "Historical Statistics about Legislation" (~21% of bills past committee enacted, 2021–23): govtrack.us/congress/bills/statistics. Calibration — Kalshi government-shutdown / appropriations markets. CLARITY deadline history — CoinDesk, Fortune, Elliptic, Latham & Watkins US crypto-policy tracker.


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